VCU332014 E.W. Merrit Farms vs. Pixley Irrigation District, et al

County: tulare

Division: Civil Law and Motion

Department: 7-Honorable Nathan D. Ide

Hearing date: 2026-07-20

Motion: Demurrer

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Re: E.W. Merrit Farms vs. Pixley Irrigation District, et al

Case No.: VCU332014

Date: July 20, 2026

Time: 8:30 A.M.

Dept. 7-Honorable Nathan D. Ide

Motion: Demurrer

Tentative Ruling: The demurrer is sustained without leave as to the first cause of action (CEQA); sustained with leave to amend, as provided herein, as to the second cause of action (SGMA); and sustained without leave as to the third cause of action (declaratory relief) and fourth cause of action (injunctive relief).

Respondents and defendants, the Pixley Irrigation District (Pixley ID); the Pixley Irrigation District Groundwater Sustainability Agency (Pixley GSA); and the Pixley ID board of directors demurrer to petitioner E.W. Merritt Farms's petition and complaint (petition).

This case involves claims arising under the Sustainable Groundwater Management Act (SGMA) and the California Environmental Quality Act (CEQA).

A. Merritt's Petition

In Merritt's petition, Pixley ID is identified as an agency responsible for managing and furnishing water in its jurisdictional area; Pixley GSA is identified as a groundwater sustainability agency (GSA) formed under the Sustainable Groundwater Management Act (SGMA); and the Pixley ID board of directors is identified as the decision-making body for both Pixley ID and Pixley GSA.

Respondents are collectively identified in the petition as the "District" and it does not appear in dispute that the challenged action, as framed by the petition, may properly be considered an action of the respondents, collectively. Accordingly, following the convention in the petition, this court also refers to respondents collectively as the "District."

Merritt alleges the Tule Subbasin (Subbasin) is managed by seven GSAs … , including the District, pursuant to a coordination agreement executed in 2022.”

The challenged action in Merritt’s petition is the District’s decision to approve a water allocation of 1.78 acre-feet per acre for the 2026 calendar year (2026 Allocation). Not apparently in dispute is that the District annually approves water allocation amounts as part of a Groundwater Accounting and Demand Reduction Program (Accounting Program) under its groundwater sustainability plan (GSP), and that these annual allocations principally affect the way in which the District imposes costs, by way of fees and penalties, when groundwater is extracted in the District’s jurisdictional area. Also not in dispute is that the Accounting Program is amongst measures adopted in the District’s groundwater sustainability plan under SGMA to achieve sustainability and avoid undesirable results from excess groundwater extractions.

Central to Merritt’s challenge of the 2026 Allocation, Merritt alleges that, in disregard of the advisements of the District’s consultants, “the District approved a total allocation in the amount of 1.78 [acre-feet of groundwater per acre of land].”

Merritt alleges that, “[i]n the fall of 2025,” the District’s consultants “reported that groundwater conditions in the District were far worse than previously thought” and had recommended a total 2026 water allocation of no more than 1.2 af/acre. According to Merritt, the District’s consultants had effectively determined that, at a total allocation of 1.6 af/ac—less than the 1.78 af/ac allocation set in the 2026 Allocation—27 of the District’s 33 defined “subsidence monitoring and management zones (‘SMMZs’)” would exceed a defined minimum subsidence threshold “before 2040.”

Merritt flags that the District’s GSP, in addition to the Accounting Program, “calls for the implementation of a subsidence management plan (‘SMP’), setting forth specific management actions to ensure [minimum thresholds] for subsidence are not exceeded.” Merritt explains: “Under the SMP, the District is required to establish subsidence monitoring and management zones (‘SMMZs’), identify high-risk SMMZs [those at designated percentage levels of a determined minimum threshold], and implement ‘early action plans’ for high-risk SMMZs to ensure subsidence in those areas does not exceed [the determined minimum thresholds].” “These early action plans require increasingly aggressive measures, depending on how close [a] SMMZ is to exceeding the subsidence [minimum threshold].” Under the “early action plans,” “increasingly aggressive measures” are required when a given SMMZ is at 50%, 75% and 100% of the determined minimum threshold.

Against this backdrop, Merritt asserts “the District violated CEQA by completely failing to consider the potential environmental impacts of the 2026 Allocation.” In its first cause of action, “Writ of Mandate — Violation of CEQA,” the District seeks set aside of the 2026 Allocation and an order enjoining any action in furtherance of the 2026 Allocation “unless and until Respondents have satisfied their obligations under CEQA.”

Separately, Merritt asserts that the District violated SGMA by disregarding its “express obligations” under that statutory scheme. Merritt alleges “[t]he 2026 Allocation is inconsistent with the District's obligations under SGMA because substantial, credible evidence from the District’s own expert consultants shows the 2026 Allocation will not meet the sustainability goal, will not achieve sustainable groundwater management, and will cause undesirable results, contrary to the requirements of SGMA, the PID GSP, and the SMP.” (Emphasis omitted.) In its second cause of action, “Writ of Mandate — Violations of SGMA,” similar to the first cause of action, Merritt seeks set aside of the 2026 Allocation and an order enjoining any action in furtherance of the 2026 Allocation “unless and until Respondents have satisfied their obligations under SGMA, the PID GSP, and the SMP.”

Following these first two causes of action, Merritt asserts a third cause of action for “Declaratory Relief – Failure to Comply with Applicable Law,” in which it seeks a judicial declaration that the District violated CEQA, SGMA, and its own GSP. After that, Merritt asserts a fourth cause of action, “Injunctive Relief – Failure to Comply with Applicable Law,” in which, combining its prior requests in the first two causes of action, it seeks an order setting aside the 2026 Allocation and enjoining “any action in furtherance of the 2026 Allocation “unless and until Respondents have satisfied their obligations under CEQA, SGMA, the PID GSP, and the SMP.”

B. The District’s Demurrer

The District demurrers to each cause of action, arguing several different issues. The District contends the first CEQA cause of action fails both because the 2026 Allocation is not a "project" subject to CEQA and because the action is time-barred.

The District further contends, under the doctrine of judicial abstention, that the petition should be dismissed because the relief Merritt seeks will conflict with an ongoing Subbasin intervention process by the State Water Resources Control Board (SWRCB) to develop and adopt a new GSP for the Subbasin and will waste judicial resources.

Notable here, Merritt alleges the SWRCB has determined that the District's GSP, along with several other GSPs of other GSAs, is inadequate, and it has designated the Subbasin as a "probationary basin" under Water Code section 10735.2, subdivision (a)(3). "The probationary designation under section 10735.2, subdivision (a)(3) is authorized when 'the [Department of Water Resources (DWR)], in consultation with the [SWRCB], determines that a groundwater [plan] is inadequate or that the groundwater sustainability program is not being implemented in a manner that will likely achieve the sustainability goal." (State Water Resources Control Bd. v. Superior Court (2025) 115 Cal.App.5th 734, 776 [338 Cal.Rptr.3d 530].) Merritt's petition alleges that DWR had previously made determinations that the District's initial GSP and an amended version were inadequate. "The [probationary] designation triggers multiple events including, … groundwater reporting requirements contained in part 5.2, beginning with section 5200 of the Water Code," as well as potential imposition of certain fees. (Id., at pp. 776-777.) The court notes various other escalating measures of state intervention, including adoption of an interim GSP for a probationary basin, are set forth in chapter 11 of part 2.74, beginning with section 10735 of the Water Code.

Merritt alleges that, "[a]s a result of the SWRCB's decision to place the Tule Subbasin on probation, effective October 3, 2024, groundwater users in the Subbasin may be required to comply with heightened monitoring requirements, to submit data regarding their extractions to the SWRCB, and to pay administrative fees to the SWRCB."

Separate from this, the District additionally demurrers to the third declaratory relief cause of action on the ground that it "mirrors the relief requested in the writ claims" and to the fourth injunctive relief cause of action on the ground that the relief requested would obstruct the District from conducting its regulatory functions under SGMA.

Finally, the District asserts the petition should be dismissed under California's "pay-first" rule.

C. SGMA and CEQA

Before turning to the parties arguments, it is helpful to understand certain pertinent features of these the complex statutory schemes at issue in this case.

1. SGMA

SGMA "essentially mandates locally developed and managed plans for sustainably using overdrafted groundwater basins." (Kings County Farm Bureau v. State Water Resources Control Bd. (2025) 115 Cal.App.5th 782, 794 [338 Cal.Rptr.3d 499] (Kings County Farm Bureau).) To that end, SGMA authorizes the creation of local GSAs to develop and implement GSPs to achieve groundwater sustainability. (Wat. Code., §§ 10721, subd. (k), 10723–10724, 10727.)

"At the local level, the Act grants [GSAs] with 'a number of powers, including the power to perform any act necessary to carry out' the Act's purposes, along with authority 'to impose fees on groundwater extraction to fund the costs' of the sustainability programs, groundwater management, investigations, and enforcement. [Citation.]" (Kings County Farm Bureau, supra,115 Cal.App.5th at p. 795.) In addition, "[a] person who extracts groundwater in excess of the amount that person is authorized to extract under a rule, regulation, ordinance, or resolution adopted [in accordance with SGMA]" or "who violates any rule, regulation, ordinance, or resolution adopted [in accordance with SGMA]" is subject to the imposition of civil penalties. (Wat. Code, § 10732.)

A GSA's power with respect to prohibiting groundwater extraction, though, is generally limited. SGMA expressly "specifies that it does not modify rights to use groundwater, and it expressly prohibits groundwater sustainability plans from determining water rights. (§ 10720.5, subds. (a), (b).)" (Mojave Pistachios, supra, 99 Cal.App.5th at p. 616.)

A GSA may sue a groundwater user to recover an unpaid amount of fees, interest or penalties, and, as part of those recovery efforts, "order him or her to cease all groundwater extraction until the delinquent fees are paid." (Mojave Pistachios, LLC v. Superior Court (2024) 99 Cal.App.5th 605, 616 [318 Cal.Rptr.3d 180], citing Wat. Code, § 10730.6, subds. (c) & (e) (Mojave Pistachios).) And, GSAs that adopt a GSP have the power "[t]o control groundwater extractions by [inter alia] regulating, limiting, or suspending extractions from individual groundwater wells or extractions from groundwater wells in the aggregate, … or otherwise establishing groundwater extraction allocations," though, "[a] limitation on extractions by a groundwater sustainability agency shall not be construed to be a final determination of rights to extract groundwater from the basin or any portion of the basin." (§ 10726.4, subd. (a)(2).)

But, again, a GSA cannot modify rights to use groundwater. (Mojave Pistachios, supra, 99 Cal.App.5th at p. 616.)

Ultimately, the powers granted GSAs under SGMA "are designed to support the adopted [GSPs], which are essentially a complex analysis of the relevant basin along with, among other things, measurable objectives and interim milestones, 'to achieve the sustainability goal in the basin.' (§ 10727.2, subd. (b).) The sustainability goal is another complex concept that seeks to determine the annual amount of water that can be extracted from the groundwater basin over a 50-year time period without undesirable results, such as chronic lowering of groundwater levels, significant and unreasonable reduction of groundwater storage, and significant and unreasonable land subsidence, among others. (See § 10721, subds. (r), (v), (w), (x).) The groundwater plans can include such actions as the monitoring and management of groundwater levels, quality, and land subsidence, as well as mitigation of overdraft and groundwater recharging. (§ 10727.2, subd. (d).)" (Kings County Farm Bureau, supra,115 Cal.App.5th at p. 795.)

When a GSA proves ineffective in carrying out its sustainability mission under SGMA, as noted above, various measures of intervention may be deployed by the state (see, e.g., Wat. Code, §§ 5200, et seq., 10735, et seq.), as has allegedly occurred in this case.

2. CEQA

Separately, the California Environmental Quality Act (CEQA) establishes, more broadly, " 'a comprehensive scheme designed to provide long-term protection to the environment.' [Citation.]" (Center for Biological Diversity v. County of San Bernardino (2016) 247 Cal.App.4th 326, 337 [201 Cal.Rptr.3d 898] (Center for Biological Diversity).) " 'Its purposes are manifold, but chief among them is that of providing public agencies and the general public with detailed information about the effects of a proposed project on the environment.' [Citation.] Environmental protection is the guiding concept in interpreting CEQA." (Ibid.)

"CEQA and its implementing administrative regulations (CEQA Guidelines) establish a three-tier process to ensure that public agencies inform their decisions with environmental considerations. [Citation.] The first tier is jurisdictional, requiring that an agency conduct a preliminary review to determine whether an activity is subject to CEQA. (CEQA Guidelines, § 15060; see Pub. Resources Code, § 21065.) An activity that is not a 'project' as defined in the Public Resources Code (see § 21065) and the CEQA Guidelines (see § 15378) is not subject to CEQA. (CEQA Guidelines, § 15060, subd. (c)(3).)" (Muzzy Ranch Co. v. Solano County Airport Land Use Com. (2007) 41 Cal.4th 372, 379-380 [60 Cal.Rptr.3d 247, 160 P.3d 116] (Muzzy Ranch).)

Notably, CEQA Guidelines, § 15378 expressly exclude certain activities from the definition of "project," including, for example, "[t]he creation of government funding mechanisms or other government fiscal activities, which do not involve any commitment to any specific project which may result in a potentially significant physical impact on the environment." (Id., subd. (b)(4).)

“The second tier concerns exemptions from CEQA review.” (Muzzy Ranch Co., supra, 41 Cal.4th., at p. 380.) Notable concerning this tier is that, subject to certain exceptions, “generally no factfinding hearing is required to determine whether a proposed activity is exempt from CEQA.” (Del Cerro Mobile Estates v. City of Placentia (2011) 197 Cal.App.4th 173, 182 [127 Cal.Rptr.3d 413] (Del Cerro).)

“CEQA’s third tier applies if the agency determines substantial evidence exists that an aspect of the project may cause a significant effect on the environment. In that event, the agency must ensure that a full environmental impact report is prepared on the proposed project. (CEQA Guidelines, § 15063, subd. (b)(1); see also Pub. Resources Code, §§ 21100, 21151; CEQA Guidelines, § 15080 et seq.).” (Muzzy Ranch Co., supra, 41 Cal.4th., at p. 381.)

The requirements of an environmental impact report (EIR) can be quite onerous. “An EIR must identify the significant effects on the environment of a project, identify alternatives to the project, and indicate the manner in which those significant effects can be mitigated or avoided. (Pub. Resources Code, § 21002.1, subd. (a).)” (Center for Biological Diversity, supra, 247 Cal.App.4th at pp. 337.) And, “[c]onsistent with [CEQA’s legislative purposes], [courts] interpret CEQA to afford the most thorough possible protection to the environment that fits reasonably within the scope of its text.” (California Building Industry Assn. v. Bay Area Air Quality Management Dist. (2015) 62 Cal.4th 369, 381 [196 Cal.Rptr.3d 94, 362 P.3d 792].)

3. SGMA & CEQA, viewed together

Viewing these statutory schemes together, it becomes evident there is, ostensibly, significant potential overlap between them. Given that, at the initial tier of CEQA analysis, the definition of “project” is quite broad, it could be deemed to encompass a significant range of activities a GSA might engage in under SGMA.

Under CEQA Guidelines, “ ‘[p]roject’ means the whole of an action, which has a potential for resulting in either a direct physical change in the environment, or a reasonably foreseeable indirect physical change in the environment, and that is [‘[a]n activity’ undertaken by, or supported by, a public agency].” (CEQA Guidelines, § 15378, subd. (a).) Our Supreme Court has explained that “[t]his determination is made without considering whether, under the specific circumstances in which the proposed activity will be carried out, these potential effects will actually occur. Consistent with this standard, a ‘reasonably foreseeable’ indirect physical change is one that the activity is capable, at least in theory, of causing. ([CEQA] Guidelines, § 15064, subd. (d)(3).)” (Union of Medical Marijuana Patients, Inc. v. City of San Diego (2019) 7 Cal.5th 1171, 1197 [250 Cal.Rptr.3d 818, 446 P.3d 317].)

Given that SGMA essentially directs GSAs to develop GSPs “for sustainably using overdrafted groundwater basins.” (Kings County Farm Bureau, supra, 115 Cal.App.5th 782, 794), much of the GSA activity SGMA authorizes presumably could be deemed to have the “potential for resulting in either a direct physical change in the environment, or a reasonably foreseeable indirect physical change in the environment” (CEQA Guidelines, § 15378, subd. (a)).

A consequence of this, inferably, could be that a GSA, in addition to the various complicated requirements it is required to meet under SGMA in carrying out its sustainability mission, would also, by virtue of the presumptive environmental impact of such activities, frequently be required to comply with CEQA’s onerous disclosure requirements, notwithstanding that its legislative charge under SGMA is, fundamentally, to provide for the sustainable management of groundwater basins and to avoid or minimize the adverse environmental effects of subsidence.

Provisions of SGMA and CEQA, however, appear to create at least some space for GSA’s to carry out their mission under SGMA without always also being subject to CEQA. Most significantly, Water Code section 10728.6 expressly states that CEQA “does not apply to the preparation and adoption of [GSPs]” under SGMA.

Also of significant note, however, section 10728.6 also provides that nothing in SGMA exempts from CEQA “a project that would implement actions taken pursuant to a [GSP].” Still, though, certain activities “that would implement actions” pursuant to a GSP, however, will properly be considered exempt under one or more exemptions defined in the CEQA Guidelines.

The CEQA Guidelines include “a list of classes of projects which have been determined not to have a significant effect on the environment and which shall, therefore, be exempt from the provisions of CEQA.” (Cal. Code Regs., tit. 14, § 15300.) For example, “exemptions in sections 15307 and 15308 of the Guidelines (referred to as ‘Class 7’ and ‘Class 8’ exemptions) … establish an exemption from CEQA for ‘actions taken by regulatory agencies as authorized by state law or local ordinance’ either ‘to assure the maintenance, restoration, or enhancement of a natural resource’ in the case of a Class 7 exemption or ‘to assure the maintenance, restoration, enhancement, or protection of the environment’ in the case of a Class 8 exemption.” (Save the Plastic Bag Coalition v. County of Marin (2013) 218 Cal.App.4th 209, 226 [159 Cal.Rptr.3d 763].)

And still yet, with these exemptions, like others set forth in the CEQA Guidelines, because, ultimately, they “represent[] a determination … that a particular project does not have a significant effect on the environment,” “[i]t follows that an activity that may have a significant effect on the environment cannot be categorically exempt.” (Mountain Lion Foundation v. Fish & Game Com. (1997) 16 Cal.4th 105, 124 [65 Cal.Rptr.2d 580, 939 P.2d 1280].)

D. Analysis - Merritt’s CEQA Claims

Regarding Merritt’s CEQA claims, the parties’ principal dispute concerns whether the challenged action of the District constitutes a “project” under CEQA, and more fundamentally, what action of the District, specifically, is challenged.

The District characterizes the 2026 Allocation as a “part” of its GSP, which is, itself, exempt from CEQA. (Wat. Code, § 10728.6.) Merritt does not dispute that CEQA does not apply to the District’s GSP, but it characterizes the 2026 Allocation as a separate project implementing the actions under the District’s GSP, such that the project is not exempt from CEQA. (Ibid.)

Branching off this dispute, the parties dispute whether Merritt’s action is time-barred according to CEQA’s 180-day statue of limitations. (Pub. Resc. Code, § 21167; Cal. Code Regs., tit. 14, § 15112.) The District contends the CEQA action is time-barred based on its characterization of the challenged action as the adoption of its GSP (or its latest iteration adopted in 2024), while Merritt contends the CEQA action is timely based on the December 2025 adoption date of the 2026 Allocation.

Neither party submits authority directly addressing whether a GSA’s fee setting activity pursuant to measures adopted in its GSP would constitute “a project that would implement actions taken pursuant to a [GSP],” but the court is, in any event, more inclined to agree with Merritt that such activity is a GSP implementing measure, and not a “measure of preparation and adoption of [GSPs].” (Wat. Code, § 10728.6.)

The court notes that “[p]rior to imposing or increasing a fee, a groundwater sustainability agency shall hold at least one public meeting, at which oral or written presentations may be made as part of the meeting,” and “[a]ny action by a groundwater sustainability agency to impose or increase a fee shall be taken only by ordinance or resolution” (Wat. Code, § 10730, subds. (b)(1) & (c)), which strongly suggests that fee imposition is a separate implementing measure of a GSP, since it requires a separate hearing, and separate “ordinance or resolution.”

While the 2026 Allocation was not, strictly speaking, a fee setting activity, that is the attributable purpose of the allocation. As the District explains, its annual groundwater allocations enable it “to impose fees on landowners for groundwater use counted against their Transitional Credits (‘Transitional Fees’) [“transitional credits” are a component of annual allocations under the District’s GSP based on observed subbasin conditions and established management criteria, which are reduced over time at levels necessary to meet sustainability goals] and additional penalties on landowners who use groundwater in excess of their Transitional Credits (‘Exceedance Penalties’).”

This additionally addresses the statue of limitations issue, since the operative action is the approval of the 2026 Allocation, and not adoption of a prior GSP.

The question of more significant import, in the court's view, though, is whether the 2026 Allocation is not a project under CEQA because it is subject to an applicable exception or exemption. The court is "required to give effect to [an] exemption upon demurrer if no facts in [the] complaint suggest[] a scenario in which the exemption [does] not apply." (Del Cerro, supra, 197 Cal.App.4th at p. 181.)

As a threshold matter, the court finds the District's argument persuasive that the 2026 Allocation is not an activity that may result in direct or reasonably foreseeable indirect physical change to the environment (CEQA Guidelines, § 15378, subd. (a)) given that the 2026 Allocations do not authorize landowners to pump a specific amount of groundwater, and, rather, the allocations enable the District to impose fees on landowners who extract groundwater.

Notable again here, while the District has power under SGMA "[t]o control groundwater extractions," it does not have the power to determine "rights to extract groundwater" (Wat. Code, 10726.4, subd. (a)(2)) and SGMA, at Water Code section 10720.5, subdivisions (a) and (b), "expressly prohibits groundwater sustainability plans from determining water rights" (Mojave Pistachios, supra, 99 Cal.App.5th at p. 616).

Merritt's suggestion to the contrary, based on reference to a collection of cases cited in Muzzy Ranch dealing with the impacts of land use determinations resulting from the enactment or amendment of a general plan (Muzzy Ranch, supra, 41 Cal.4th at p. 385) is unpersuasive because unlike the cited land use determinations, the 2026 Allocations do not directly or indirectly allow or prohibit any activity on the part of landowners. Zoning determinations result in permitting authorization for development activity; fee determinations, instead, simply impose costs for activities. Notable here, unlike with the fee setting activity at issue in this case, the CEQA Guidelines expressly state that " 'project' includes 'an activity directly undertaken by a public agency including but not limited to … enactment and amendment of zoning ordinances, and the adoption and amendment of local General Plans or elements thereof.' " (Id., at p. 385, fn. 4, citing CEQA Guidelines, § 15378, subd. (a)(1).)

Also notable, the same cited section 15378 of the CEQA Guidelines expressly states that a "project" does not include "[t]he creation of government funding mechanisms or other government fiscal activities, which do not involve any commitment to any specific project which may result in a potentially significant physical impact on the environment." (Id., subd. (b)(4).)

Merritt contends that whether the 2026 Allocations "may also have some fiscal impact is immaterial," since, "the District is committing to … a total allocation of 1.78 af/acre … that could produce a physical change in the environment," but the District is not "committing" to the extraction of the total 2026 Allocation, rather it is "committing" to an annual fee imposition matrix based on categories of maximum allocated water and thereby imposing costs on activity that "could produce a physical change in the environment."

Notable here, SGMA specifically imbues GSAs with the authority to "impose fees on the extraction of groundwater from the basin to fund costs of groundwater management … ." (Wat. Code, § 10730.2, subd. (a)) and GSAs are generally authorized to "impose fees" for the purposes of funding "the costs of a groundwater sustainability program, including, but not limited to, preparation, adoption, and amendment of a groundwater sustainability plan, and investigations, inspections, compliance assistance, enforcement, and program administration, including a prudent reserve" (Wat. Code, § 10730, subd. (a)).

In this respect, the 2026 Allocations are part of a fee setting activity squarely involving "government funding mechanisms or other government fiscal activities." (CEQA Guidelines, § 15378, subd. (b)(4).)

Based on the foregoing, it is additionally without question that the 2026 Allocations are not activities that have a "significant effect on the environment" (Mountain Lion Foundation v. Fish & Game Com., supra, 16 Cal.4th at p. 124.) The fact that the District's consultants recommended a lower 2026 total groundwater allocation does not change this fact merely because it effectively determined that complete exhaustion of the overall 2026 Allocation—an action that would ultimately result from landowners pumping excess groundwater in spite of contrary fee incentives—would create significant adverse subsidence consequences. This is because the consultant's determinations do not change the fact that the activity engaged in by the District—contrary to the consultant's advisement or not—was a determination of what fees to impose on landowners for groundwater extractions pursuant to its authorization to impose such fees to fund its sustainability mission under SGMA.

Clearly, the District’s activity at issue is neither the pumping of groundwater (which is ultimately the activity that Merritt maintains will produce an adverse effect on the environment), nor permitting the pumping of groundwater.

Accordingly, it follows that, as the District argues, the 2026 Allocations should properly be considered exempt as Class 7 and Class 8 exemptions under sections 15307 and 15308 of the CEQA Guidelines. Indeed, the District’s sole authorization to determine the 2026 Allocations derived exclusively from SGMA and the sole purpose of the resulting fee impositions was “to assure the maintenance, restoration, or enhancement” of groundwater resources. (Ibid.)

The test of whether the 2026 Allocation and resulting fee imposition “assure[s] the maintenance, restoration, or enhancement” of groundwater resources cannot be whether the fees resulting from the allocation effectively limit groundwater extractions to a level advised by a hired consultant, since prohibition of groundwater extraction is not an authorized purpose for the imposition of pumping fees.

Instead, GSAs are only authorized to “impose fees on the extraction of groundwater from the basin to fund costs of groundwater management” (Wat. Code, § 10730.2, subd. (a)) and “to fund the costs of a groundwater sustainability program, including, but not limited to, preparation, adoption, and amendment of a groundwater sustainability plan, and investigations, inspections, compliance assistance, enforcement, and program administration, including a prudent reserve” (Wat. Code, § 10730, subd. (a)). Again, a GSA does not have the power to determine “rights to extract groundwater” (Wat. Code, 10726.4, subd. (a)(2)) and is “expressly prohibit[ed] … from determining water rights” in its GSP (Mojave Pistachios, supra, 99 Cal.App.5th at p. 616).

Based on the foregoing, the court finds that the demurrer must be sustained without leave to amend to Merritt’s CEQA cause of action.

E. Analysis – Merritt’s SGMA Claims

Merritt’s SGMA claim has two components.

First, Merritt asserts that the District generally “has a mandatory, ministerial duty to comply with its obligations under SGMA,” and that “[t]he 2026 Allocation is inconsistent with the District's obligations under SGMA because substantial, credible evidence from the District's own expert consultants shows the 2026 Allocation will not meet the sustainability goal, will not achieve sustainable groundwater management, and will cause undesirable results, contrary to the requirements of SGMA, the PID GSP, and the SMP.” (Emphasis omitted.)

In effect, Merritt contends the District generally violated its sustainability mandates under SGMA by adopting the 2026 Allocation contrary to recommendations of its consultants. Because, however, the District is under no identified or obvious legal obligation to follow the recommendations of its consultants, this claim is that essentially the District violated its sustainability mandates under SGMA by adopting the 2026 Allocation.

As the District correctly notes, however, to the extent Merritt invites the court to evaluate whether the District generally violated its sustainability mandates under SGMA by adopting the 2026 Allocation, it asks this court to essentially make a determination whether the District “should be regulating differently.”

The court agrees with the District that, under the circumstances presented, judicial abstention is appropriate under the circumstances.

“Under the doctrine of judicial abstention, a trial court has discretion to abstain from adjudicating an action if: (1) granting the requested relief would require a trial court to assume the functions of an administrative agency, or to interfere with the functions of an administrative agency; (2) the action involves determining complex economic policy, which is best handled by the Legislature or an administrative agency; or (3) granting injunctive relief would be unnecessarily burdensome for the trial court to monitor and enforce given the availability of more effective means of redress. Also, judicial abstention may generally be appropriate only if there is an alternative means of resolving the issues raised in the action." (People ex rel. Elliott v. Kaiser Foundation Health Plan, Inc. (2024) 105 Cal.App.5th 1114, 1128 [326 Cal.Rptr.3d 458], citations and quotation marks omitted.)

Here, in its petition, Merritt generally refers to broad directives under SGMA—that it requires establishment of GSAs; and directs GSAs to adopt GSPs specifying measures to eliminate overdraft, prevent undesirable results, and achieve the "sustainability goal"—and then essentially asserts that the 2026 Allocation violates those broad directives. Merritt's petition essentially calls on the court to perform a performance review of the 2026 Allocation as a sustainability measure based on its efficacy in achieving results generally consistent with SGMA directives.

Merritt contends that is "simply asks the Court to determine whether the District is satisfying its legal obligation under … SGMA," but there is nothing simple about that request. The inquiry likely would involve, as the District notes, "analyzing groundwater modeling and monitoring data, evolving subsidence data, [and] whether sustainability actions are on track to achieve results during the planning horizon, and what, if anything, [the District] can or should do differently to avoid undesirable results."

There is no dispute that SWRCB has made a determination that the District's GSP is inadequate and designated the Subbasin in probationary status, and the court finds it appropriate under the circumstances to defer to the SWRCB's process with respect to evaluation of the 2026 Allocation's compliance with general SGMA directives.

Merritt states that SWRCB "has not decided to implement an interim plan and even assuming arguendo the SWRCB will do so, the timing of that determination, and the ultimate implementation of any interim plan, are both entirely speculative," and, that, under these circumstances, "the District's failure to comply with the law is causing ongoing, permanent harm to the basin"

Merritt's ultimate aim, however, is an order to set aside the 2026 Allocation—as well as, by implication, the fees imposed thereunder—and, further, to enjoin "any action in furtherance of the 2026 Allocation unless and until Respondents have satisfied their obligations under SGMA." It seems that what Merritt requests the court to order would cause far more harm during the pendency of proceedings before the SWRCB, than denying that order in maintenance of the status quo in deference to that pending proceeding.

Accordingly, the court finds abstention appropriate with respect to the broad request to consider the District's general compliance with SGMA's sustainability goal.

The second component of Merritt's SGMA claim is that by adopting the 2026 Allocation, the District has proceeded in violation of its own GSP, or, more specifically, the SMP measure included in its GSP.

The SMP, as described in the petition, requires identification of high-risk SMMZs and implementation of "early action plans" for high-risk SMMZs that entail "increasingly aggressive measures" when a given SMMZ is at 50%, 75% and 100% of the determined minimum threshold.

According to Merritt, "[a]t least 10 SMMZs have exceeded the 50% threshold so as to trigger the SMP's early action requirements," but "the District has failed to discharge its clear and unambiguous duty under the SMP to implement early action requirements for those SMMZs, contrary to the PID GSP and SGMA."

Confusingly, Merritt asserts that, in this manner, "the District failed to proceed in the manner required by law and/or abused its discretion in approving the 2026 Allocation," but it does not appear the 2026 Allocation is the problem. The problem, based on the allegations, appears to be that the District is not enforcing measures called for by the SMP for "[a]t least 10 SMMZs

[that] have exceeded the 50% threshold so as to trigger the SMP's early action requirements."

The 2026 Allocation is of no consequence to this. Based on what the petition alleges, it appears that, according to the District's consultants, if landowners pump all of the allocation of water set in the 2026 Allocation, a majority of the SMMZs in the District will be subject, before 2040, to the most "aggressive" of the "increasingly aggressive measures" under the SMP (those that are required at 100% of the minimum threshold). This says nothing, however, of whether the District is enforcing the SMP, it merely identifies an anticipated scenario in which an increasing level of enforcement will be required under the SMP.

The court, in any event, does not find abstention would be warranted with respect to the limited issue of whether the District is failing to enforce the specific measure of implementing early action requirements from those SMMZs that allegedly have exceeded the 50% threshold so as to trigger the SMP's early action requirements.

The court finds that, in this limited respect, the petition indicates that there is a clear mandate under the GSP that is not being followed. This court would be well within its authority and ability to determine the question of whether the District is failing to enforce the specific measure of implementing early action requirements from those SMMZ that allegedly have exceeded the 50% threshold. (See People ex rel. Elliott v. Kaiser Foundation Health Plan, Inc. (2024) 105 Cal.App.5th 1114, 1132 [326 Cal.Rptr.3d 458].)

The second cause of action, however, does not call for a limited determination that the District is failing to enforce the SMP, but instead, set aside of the 2026 Allocation.

Based on the foregoing, the court sustains the demurrer with leave to amend as to the second cause of action, but leave shall be limited to statement of a claim addressing the limited issue of the District's alleged failure to enforce the SMP.

The court, again, however, will exercise its discretion to abstain from adjudicating the broader claim that the 2026 Allocation violates the general sustainability mandates of SGMA.

F. Third and Fourth Causes of Action

The court sustains the demurrer to the third cause of action because it seeks the same remedies as the first and second but via a declaratory relief route, but "[i]t is settled that an action for declaratory relief is not appropriate to review an administrative decision." (State v. Superior Court (1974) 12 Cal.3d 237, 249 [115 Cal.Rptr. 497, 524 P.2d 1281].) The demurrer is sustained without leave to amend because if, as Merritt indicates, it intended to state this claim as seeking a declaration regarding an ongoing dispute—i.e., the parties disagreements about the manner in which District is complying with SGMA—the court abstains from adjudicating such issues in favor of the pending SWRCB proceedings.

The court additionally sustains the demurrer to the fourth cause of action for the same reasons that it sustains the demurrer to the first and second causes of action. Given that the fourth cause of action is entirely duplicative of the first two causes of action, the court notes that, in the event Merritt opts to file an amended petition, it need not and should not restate its prayer for relief under a claim as a separate cause of action. Accordingly, demurrer is sustained to the fourth cause of action without leave.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.